

HOW IT WORKS?

1

MARKET REFLECTS ALL FACTORS

Technical analysis begins with one of the principles discussed earlier. It begins with the assumption that all the information, news, responses, actions, fundamental factors, market sentiments etc. are reflected in the prices at any given point in time.

2

UNDERSTAND THE MARKET WITH PRICE-VOLUME DATA

We then analyze price and volume data. We conduct statistical operations, read the charts and use various combinations of oscillators, indicators, candlestick patterns and so on. We will conduct these operations to understand the market sentiments reflected in the price and see if we can take any action based on what we infer from this data.

3

TAKE POSITIONS BASED ON PAST PATTERNS & INDICATORS

Based on our analysis and the patterns observed in the price and volume data, we take positions (i.e. buy or sell assets) in the market. We expect that history will at least rhyme if not repeat itself and in the future, the asset prices will move in the direction that we would predict them to. We will not be accurate every time and the asset prices in a different direction.